

BEFORE THE FEDERAL MARITIME COMMISSION

Washington, D.C. Docket No. 25-15

RESPONDENT'S BRIEF IN OPPOSITION AND MOTION TO DISMISS

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PLEASE TAKE NOTICE that, pursuant to the revised Scheduling Order dated January 21, 2026 (Dkt. No. 13), the Order Addressing Filing Deficiencies and Extending Schedule dated April 20, 2026 (Dkt. No. 17) (“Deficiency Order”) and the Initial Order dated August 5, 2025 (Dkt. 6) (“Initial Order”), Respondent Wallenius Wilhelmsen Ocean AS (“WWO” or “Wallenius”), by and through its attorneys, Clyde & Co US LLP, respectfully submits the following Opposition to the arguments asserted in Complainant’s Briefs,¹ and moves to dismiss the Complaint in all respects as a matter of law and/or by summary judgment on the following grounds:

- I. Complainant failed to plead a legally cognizable claim under the Shipping Act, as a matter of law;
- II. The undisputed record demonstrates that no genuine issue of material fact exists;
- III. The Commission lacks jurisdiction over this claim;
- IV. The Complaint is time-barred as a matter of law under the one-year statute of limitations prescribed by the governing bills of lading and the Carriage of Goods by Sea Act (“COGSA”);
- V. The evidentiary record is devoid of any evidence that Complainant suffered any cognizable injury; Complainant thus has no standing to recover any alleged damages and is not the real party in interest; and

¹ Complainant filed two different briefs: an initial submission on March 18, 2026 (“First Brief”), followed by a revised submission on May 4, 2026 (“Second Brief”). Complainant also filed two different proposed findings of fact: an initial submission on March 18, 2026, and a revised submission on May 4, 2026 (“Revised Proposed Findings”).

VI. Complainant violated the limited scope of the Deficiency Order by redrafting its Brief and yet failed to cure the Order's specified deficiencies or to establish any basis for relief.

As demonstrated below, Complainant attempts to circumvent the applicable one-year time bar by recasting an alleged isolated error as an "unjust and unreasonable practice" under 46 U.S.C. § 41102(c), contrary to Federal Maritime Commission ("FMC" or the "Commission") precedent, the governing bills of lading and applicable maritime law. Complainant further seeks in error to recover for alleged losses incurred by its clients by mischaracterizing those damages as its own. Each of Complainant's assertions fail as a matter of law. No genuine issue of material fact exists, and the record requires dismissal as a matter of law.

PROPOSED FINDINGS OF FACT

WWO respectfully incorporates and refers to its Proposed Findings of Fact filed herewith.

ARGUMENT

I. COMPLAINANT FAILED TO STATE A FACIALLY PLAUSIBLE CLAIM FOR RELIEF UNDER THE SHIPPING ACT.

As the FMC Rules do not expressly provide for a motion to dismiss, the "Commission looks to . . . Rule 12(b)(6) when considering dismissals based on failure to state a claim." *YSN Imports Inc. d/b/a Flame King v. Oberlander*, 2021 WL 2935838, at *2 (FMC 2021) (citing *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216 at *6 (FMC 2020)). To survive a motion to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when

the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). Thus, “[a] pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555).

The Complaint here fails to plead facts sufficient to establish any “practice” within the meaning of 46 U.S.C. § 41102(c). Complainant invokes FMC jurisdiction by alleging that WWO “failed to submit the required in-transit cargo manifest” for shipments routed through Peru, leading to seizure by Peruvian customs and ultimate nondelivery. RX102. On that alleged basis, Complainant asserts an unjust and unreasonable “practice” in violation of 46 U.S.C. § 41102(c). *Id.* That allegation, however, cannot survive basic scrutiny and is implausible on its face.

Section 41102(c) prohibits a carrier from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). In December 2018, the Commission adopted a “Final Rule, codified at 46 C.F.R. § 545.4, clarif[ying] that § 41102(c) is *not violated by a single act or omission (even if unjust or unreasonable), but rather applies to conduct that is normal, customary, and continuous.*” *Crocus Invs., LLC v. Marine Transp. Logistics, Inc.*, 2021 WL 3732849, at *4 (FMC 2021); Final Rule: Interpretive Rule, Shipping Act of 1984 (Final Rule), 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); 46 C.F.R. § 545.4 (emphasis added).

A complainant must prove five (5) elements to establish a successful § 41102(c) claim for reparations under § 545.4: (1) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (2) the practice occurred on a “normal, customary, and continuous basis;” (3) the practice is connected with “receiving, handling, storing or delivering

property;” (4) the practice is unjust or unreasonable; and (5) the practice is the proximate cause of the claimed loss. *Crocus Invs.*, 2021 WL 3732849, at *4.

Under consistent Commission precedent, a single shipment, an isolated act, or even multiple similar incidents over a short period fail to constitute a “practice” under Section 41102(c). In *Crocus Invs., LLC*, even after the Commission found an instance of unreasonable conduct, the Commission affirmed dismissal of the § 41102(c) claim because the complainant “failed to prove that [the respondent] normally, customarily, or continuously” engaged in the challenged conduct and could point to “only one prior occasion when [the respondent] was found in violation of § 41102(c).” *Crocus Invs.*, 2021 WL 3732849, at *1. Here, Complaint fails to allege even one prior instance of an unreasonable practice, or any prior violation by WWO. The Commission’s reasoning in *Crocus*, therefore, applies with force here.

As the FMC reasoned in *Crocus Invs., LLC*:

The Commission has described conduct indicative of a regulation or practice as actions that are “often repeated, systematic, uniform, habitual, and continuous,” basically, the manner in which a respondent carries out its business dealings. *Final Rule*, 83 Fed. Reg. 64,478, 64,479 (Dec. 14, 2018). “The essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct. It is not an occasional transaction” *Investigation of Certain Practices of Stockton Elevators*, 8 FMC 178, 201 (FMC 1964); *See, also Muzorori v. Canada State Africa Lines, Inc.*, FMC Docket No. 1949(F), 2016 FMC LEXIS 45, at *71 (FMC 2016) (Khoury, Comm’r, dissenting).

Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice. *Hangzhou*, 2020 FMC LEXIS 192. An “occasional transaction” or isolated act is not a “practice.” *Stockton Elevators*, 8 FMC at 201. Two or three incidents over a short time period are not enough to show that the conduct in question is an entity’s normal and

customary practice. *Hangzhou*, 2020 FMC LEXIS 192, at *7 (releasing three shipments to the same consignee without an original bill of lading over a two-month period insufficient to show that was respondent's normal practice or that it was customary or continuous). Even six instances of "unreasonable conduct" carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was "uniform or continuous" under § 41102 (or its predecessor, section 17 of the Shipping Act). *Stockton Elevators*, 8 FMC at 200–01 (charges to the same customer inconsistent with tariff rates on six occasions amounted to a "single transaction").

Crocus Invs., 2021 WL 3732849, at *4.

The Complaint here alleges less activity than the six, or even two or three, instances of unreasonable conduct that are insufficient to constitute a "practice." The undisputed record establishes that Complainant's claim rests on one alleged documentation error for three related shipments on a single voyage.

Complainant concedes that its allegation "is based solely on what happened to [its] three shipments" on the M/V Morning Lady. RX77-78. Complainant testified that it is not aware of "any policy of Wallenius stating that cargo may be manifested incorrectly." RX71. Complainant further admitted that it has no knowledge of any error in manifestation by WWO "before this subject voyage of the Morning Lady" or "since this subject voyage of the Morning Lady." RX71-72. Indeed, Complainant conceded that it has no evidence "of any kind that would suggest that Wallenius has a history of making manifest errors." RX78.

The Commission has repeatedly rejected such grounds as isolated errors and not a practice. In *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 1990 WL 427469 (FMC 1990), for example, the Commission found that a carrier's failure to specify carton counts on a single bill of lading was

“at most an isolated error,” and reasoned that the absence of any evidence of a broader practice constitutes “a fatal flaw” in Complainant’s case. *Id.* at *4.

The Complaint here pleads no facts establishing a “normal, customary, and continuous” practice within the meaning of 46 U.S.C. § 41102(c), and thus fails to allege a statutory element essential for a facially plausible claim. The Complaint, therefore, must be dismissed as a matter of law.

**II. NO GENUINE ISSUE OF MATERIAL FACT EXISTS;
THE RECORD THUS REQUIRES SUMMARY
JUDGEMENT DISMISSAL.**

The party seeking summary judgment must demonstrate that no genuine issue of material fact exists. *EuroUSA Shipping, Inc., Tober Group, Inc. and Container Innovations, Inc. - Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. § 515.27, 31 S.R.R. 540, 545 (FMC 2008)*. The mere existence of a factual dispute will not defeat an otherwise properly supported motion for summary judgment. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247-248 (1986). Indeed, “[w]here the record taken as a whole could not lead a rational trier of fact to find for the non-moving party, there is no ‘genuine issue for trial.’” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted).

Even if the Complaint here were deemed sufficient at the pleading stage, the undisputed factual record requires dismissal. Complainant has conceded, under oath, that its claim is based solely on an alleged manifest error on one voyage involving three related shipments; that it is unaware of any policy, regulation, or procedure of incorrect manifesting; that it cannot identify any prior or subsequent similar incident; and that it has no evidence of any history of manifest errors by WWO. RX71-72; RX77-78.

Such admissions preclude any conceivable dispute of material facts necessary to establish a “practice” under Section 41102(c). Where, as here, the record negates an essential element of the claim, no genuine issue of material fact exists. *See, e.g., Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986); *Matter of Offshore Oil Servs., Inc.*, 663 F. Supp. 3d 594, 607 (E.D. La. 2023); *Palos v. United States*, 800 F. Supp. 3d 1075, 1079 (C.D. Cal. 2025) (citing *Nissan Fire & Marine Ins. Co. v. Fritz Cos.*, 210 F.3d 1099, 1102 (9th Cir. 2000)). WWO is entitled to summary judgment as a matter of law.

III. THE COMPLAINT MISCHARACTERIZES A CARGO CLAIM AS A VIOLATION OF THE SHIPPING ACT.

The Complainant seeks recovery for the alleged value of the cargo, freight charges, and consequential damages arising from an alleged nondelivery of the cargo. Such alleged damages represent cargo loss damages. COGSA exclusively governs such claims.

COGSA applies by force of law to contracts for the carriage of goods by sea “to or from ports of the United States in foreign trade,” such as the three shipments at issue here. 46 U.S.C. § 30701 note § 13; CX520; CX522; CX524. Each bill of lading issued for the three shipments expressly incorporates the WWO Terms, which state that, “[w]here compulsorily applicable, this contract is governed by COGSA.” CX520; CX522; CX524; RX100.

The Commission’s jurisdiction over disputes involving cargo loss turns on whether the complaint alleges elements peculiar to the Shipping Act, rather than a mere claim for loss or damage to cargo governed exclusively by COGSA. The Commission has “held that the appropriate test for the Commission’s jurisdiction is whether Complainants’ allegations also involve elements peculiar to the Shipping Act.” *Rahal International Inc., Complainant v. Hapag-Lloyd Ag*, 2023 WL 6391708, at *6 (FMC 2023) (quoting *Kobel v. Hapag-Lloyd*, 2013 WL

9808671, at *6 (FMC 2013), citing *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 2000 WL 1648961, at *14 (FMC 2000)). Where such Shipping Act-specific allegations are raised, respondents “cannot avoid the Shipping Act issue by cloaking Complainants’ claims in terms of COGSA.” *Rahal*, 2023 WL 6391708, at *6 (citing *Kobel*, 2013 WL 9808671, at *6). Likewise, where a complaint alleges no facts supporting a Shipping Act violation, as here, the Commission lacks jurisdiction.

Unlike in *Kobel* or *Rahal*, where the complaints plausibly alleged conduct peculiar to the Shipping Act, the Complaint here neither pleads any facts nor alleges any evidence that could establish a plausible claim under the Shipping Act, as set forth in Sections I and II, *supra*. *Id.*; 46 U.S.C. § 41102(c). As Complainant alleges no plausible Shipping Act claim, no jurisdictional basis allows the Commission to adjudicate what is, in substance, a time-barred claim for cargo loss governed exclusively by COGSA.

The Commission has long and consistently recognized that it lacks jurisdiction over such cargo damage and loss claims governed by COGSA. In *A.N. Deringer*, the Commission explained: “The Commission has never asserted jurisdiction over damage and loss claims, and, in fact, its predecessor agency specifically denied such jurisdiction as long ago as 1941.” 1990 WL 427469, at *5. The Commission further cautioned that allowing a complainant to repackage a cargo loss claim as a Shipping Act violation “would constitute a wholly unwarranted frustration of Congressional intent.” *Id.* Accepting such a theory would require concluding that a claimant could evade COGSA’s one-year statute of limitations by filing with the FMC within the Shipping Act’s longer limitations period - - an outcome the Commission deemed “unacceptable.” *Id.*

The Commission's ruling in *Marlin Marine* applies with equal force here. The Complaint seeks damages arising solely from the alleged nondelivery of cargo and asserts no injury independent of the claimed cargo loss. Allowing such a claim to proceed under § 41102(c) would invite Complainant (and open the floodgates for many other claimants) to circumvent COGSA's one-year time bar through creative pleading - - the precise result the Commission rejected in *Deringer*.

In short, COGSA exclusively governs the relief sought in the Complaint. Thus, the FMC lacks jurisdiction over the instant dispute.

**IV. THE UNDISPUTED FACTUAL RECORD
ESTABLISHES THAT COMPLAINANT'S CLAIMS ARE
TIME-BARRED AS A MATTER OF LAW.**

Even if the Commission were to find that the Complaint plausibly pleads a violation of the Shipping Act, Complainant failed to bring suit within the one-year period prescribed by the WWO Terms, and by COGSA. The WWO Terms state that the carrier "shall be discharged from any liability whatsoever . . . unless suit is brought within one year after delivery of the goods or the date when the goods should have been delivered." RX100. Complainant admitted that it reviewed and was aware of those Terms before filing this action. RX55-56. COGSA Section 3(6) likewise provides: "In any event the carrier and the ship shall be discharged from *all liability in respect of loss or damage* unless suit is brought within one year after delivery of the goods or the date when the goods should have been delivered." 46 U.S.C. § 30701 note § 3(6) (emphasis added).

The cargo was allegedly discharged in Peru by Peruvian authorities and not delivered to its intended destination as scheduled in January 2024. RX78. Complainant did not commence this

FMC proceeding until July 2025 - - approximately eighteen months after the cargo should have been delivered. *Id.*

Complainant admitted that it did not file any action in any court or arbitral forum within one year after the shipments should have been delivered, and failed to obtain any extension of the one-year time bar from WWO. RX78-79. Such admissions mandate dismissal. Under the WWO Terms and COGSA, the failure to bring suit within one year does not merely bar a remedy; it extinguishes the claim itself.

The undisputed facts establish that Complainant did not commence any action within the one-year limitations period applicable by force of law and by contract and therefore forfeited any right to recover for the alleged loss. For each of these independent reasons, the Complaint must be dismissed with prejudice as a matter of law.

**V. COMPLAINANT SUSTAINED NO ACTUAL INJURY,
AND THUS IS NOT ENTITLED TO ANY RECOVERY.**

A. Complainant sustained no cognizable loss or damages.

Even if the Complaint alleged a viable Shipping Act claim and did not contravene the COGSA and contractual time bars, Complainant would be barred from any recovery for yet another reason: the undisputed record shows that Complainant suffered no actual injury and is thus not the real party in interest.

The Shipping Act authorizes reparations only for “actual injury to the complainant caused by a violation of this part.” 46 U.S.C. § 41305(b). There is no presumption of damages, and “the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 2022 WL

2209421, at *3 (FMC 2022). Complainant bears the burden of proving it sustained actual damages proximately caused by the alleged Shipping Act violation and must do so with evidence sufficient to establish the loss to a reasonable degree of certainty. *Id.*

Commission precedent illustrates the rigor of that standard. In *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, the Commission rejected more than \$100 million in claimed damages and instead limited recovery to amounts supported by concrete evidence tied to identifiable shipments and demonstrated per-container loss. 2023 WL 3969857, at *2, *40 (FMC 2023). The Commission's calculation was grounded in proof of actual injury, not speculation or extrapolation.

Complainant is not the real party in interest with respect to the alleged cargo loss. Under oath, Complainant admitted that it never owned the cargo, never took title to the goods, and held no lien or security interest in the shipments. RX45. Complainant further admitted that it never received any written assignment or subrogation of rights from any cargo owner or consignee. RX65. In the absence of ownership, assignment, or subrogation, as here, Complainant cannot establish any right to recovery for any injury arising from the alleged loss of cargo - - that claim may belong to the alleged owners of the cargo, whoever they might be. (Indeed, Complainant fails to establish that any loss in fact occurred; nor does Complainant attempt to show that the alleged cargo owners (or anyone else including Complainant) have attempted to recover the cargo from Peruvian authorities or otherwise took steps to mitigate the alleged losses.)

Further, the undisputed record establishes that Complainant suffered no actual injury. Complainant conceded that it incurred no out-of-pocket loss of any kind. RX92-93. Indeed, Complainant testified that it did not purchase the cargo or make any financial contribution toward

it, did not reimburse any customer for the value of the cargo, did not refund freight or logistics charges to any customer, and collected in full from its customers the freight amounts paid to WWO. RX92-94. These admissions foreclose any claim of direct pecuniary loss.

Complainant also failed to establish entitlement to consequential or reputational damages. Complainant admitted that it possesses no documents showing lost profits, no documents showing lost customer contracts, no documents showing lost revenue, and no documents evidencing any financial loss attributable to reputational harm. RX93-94. Such unsupported assertions fail to satisfy the Shipping Act's requirement of actual injury.

The Complainant is not the real party in interest, suffered no actual injury, and neither alleged nor produced any evidence of recoverable damages. RX92-94; *See OJ Commerce*, 2023 WL 3969857, at *2, *40 (FMC 2023). Complainant is therefore not entitled to reparations under the Shipping Act, and the Complaint must be dismissed in its entirety.

B. If Complainant had suffered damages, such damages would be limited by the WWO Terms and/or by COGSA.

Even assuming *arguendo* that Complainant suffered recoverable damages, which the record squarely refutes, any recovery would be limited by the \$500-per-package limitation applicable by contract and under COGSA. The WWO Terms state: “[i]f the Merchant has not declared a higher value on the face of this Bill of Lading and paid extra freight for the higher declaration, the Carrier’s liability is *in any event* limited to USD 500 per Package or for Goods not shipped in packages.” RX100 (emphasis added). COGSA contains the same limitation. *See*, 46 U.S.C. § 30701 note § 4(5). Each bill of lading reflects one package per shipment, no declared value, and no additional freight paid. CX520; CX522; CX524. Complainant conceded that it did

not declare any value and did not pay any additional freight. RX54-55; RX58. Any claim exceeding \$500 per package is thus barred as a matter of law.

**VI. COMPLAINANT’S REVISED FILINGS VIOLATE THE
SCOPE OF THE COURT’S ORDER AND FAIL TO CURE
DEFICIENCIES.**

Complainant’s revised filings exceed the limited relief authorized by the Deficiency Order and fail to comply with the Initial Order. Pursuant to 46 C.F.R. § 502.72(b), “[i]f the complainant fails to prosecute or to comply with these rules or an order in the proceeding, a respondent may move to dismiss the action,” and such dismissal “operates as an adjudication on the merits.” 46 C.F.R. § 502.72(b).

The Deficiency Order directed Complainant to correct specific procedural and formatting deficiencies in its First Brief, proposed findings of fact and appendix to comply with the Initial Order. Instead of doing so, Complainant submitted a Second Brief and Revised Proposed Findings, including a rewriting of its arguments, a material expansion of the submission, the addition of new (and incorrect) statutory bases for jurisdiction, and the assertion of a new theory of damages predicated on Complainant’s alleged “commercial interest” in the shipments. Second Brief, at 5. Such amendments are not mere clerical or formatting corrections; they constitute substantive revisions that wrongly take a second opportunity to litigate the merits. Such improper conduct by Complainant disregards the Commission’s directive and prejudices Respondent by forcing it to adapt to a shifting theory of liability outside the orderly process prescribed by the Commission’s rules and the Initial Order.

Even with this “second bite at the apple,” Complainant still fails to articulate any plausible claim for relief or valid legal basis for recovery. The Second Brief remains devoid of legal analysis

and any citation to governing authority, precedent, or even basic principles of law, in direct contravention of 46 C.F.R. § 502.214(c)(3). Such persistent deficiencies underscore that Complainant has no viable claim under the Shipping Act or otherwise - - and together with Complainant's blatant mischaracterization of its allegations cast as "a Shipping Act claim," and cavalier disregard of COGSA as the governing law, evidence Complainant's pattern of bad faith and reckless conduct in pursuing this matter.

Complainant's revised submissions also fail to comply with the Initial Order. The Second Brief lacks an index and table of contents, in violation of 46 C.F.R. § 502.214(d). The Initial Order expressly requires that "[e]ach factual proposition shall be followed by an exact citation to evidence... e.g., a page number in the appendix." However, the Revised Proposed Findings include at least fourteen (14) factual assertions with no citation to the record, and improperly include a section titled, "Key Liability Findings" and other legal conclusions that are not factual propositions. Where citations are provided, they reference "CX" and "WWO" Bates numbers. The revised appendix spans approximately 586 pages and includes materials that do not support any cited assertion.

The continued absence of required structural elements, the improper citation practices, and the inclusion of voluminous, irrelevant materials in the appendix collectively reflect an abuse of the process that has already burdened both Respondent and the Commission. This pattern of noncompliance, coupled with Complainant's attempt to use a limited corrective order as a vehicle to reshape its case, further supports dismissal.

VII. RESPONDENT IS ENTITLED TO RECOVER ATTORNEY'S FEES.

The Federal Maritime Commission has express authority to award attorney's fees to a prevailing party. Under 46 C.F.R. § 502.254(a), "the Commission may, upon petition, award the prevailing party reasonable attorney fees," defined as the fair market value of services provided by persons authorized to practice before the Commission. 46 C.F.R. § 502.254(a). A party may recover fees only upon prevailing by formal decision of the Presiding Officer or the Commission itself, including dismissal of a complaint with prejudice. *ICL USA, Inc. v. Dependable Highway Express, Inc. & Mediterranean Shipping Co. (USA) Inc.*, 2024 WL 4133973 (FMC 2024). If WWO prevails here, WWO will timely submit a petition in accordance with the requirements of § 502.254(c).

Fee awards under § 502.254 are discretionary and guided by a single overarching inquiry: whether awarding attorney's fees is consistent with the purposes of the Shipping Act. *See*, Statement of the Commission on Attorney Fees, 2021 WL 6202672, at 1 (FMC 2021). In assessing whether fees are warranted, the Commission examines factors including whether the claims were objectively unreasonable, whether the action was improperly motivated, whether there was litigation misconduct, whether a fee award would serve a proper deterrent function, and whether compensation is appropriate under the circumstances. *Id.* at 3–4.

Although fee awards against complainants have historically been rare, the Commission has emphasized that such awards may be appropriate where a proceeding is pursued despite a lack of factual or legal foundation, particularly where necessary to deter misuse of Commission processes. *Id.* Indeed, in *Dependable Highway*, the Commission recently awarded attorney's fees to a respondent after concluding that the complainant's claims were "unsubstantiated, improperly

motivated, and unsupported by the law or Commission precedent,” and that a fee award was warranted to “serve a vital deterrence function in furtherance of the purposes of the Shipping Act.” 2024 WL 4133973, at *8 (FMC 2024).

The Commission’s reasoning there applies here as well, and warrants an award of attorneys’ fees. Complainant’s claims rest on an allegedly isolated error in manifest documentation involving three shipments on a single voyage - - conduct that, as a matter of law, cannot constitute a “practice” under 46 U.S.C. § 41102(c). Complainant nevertheless filed and pursued the instant proceeding despite admitting under oath that it could identify no policy, regulation, or procedure permitting incorrect manifesting, no prior or subsequent similar incident, and no evidence of any historical pattern of conduct by Respondent. RX70-71; RX77-78.

Thus, the relief sought arises solely from an alleged cargo loss governed exclusively by COGSA. Under long-standing Commission precedent, the FMC lacks jurisdiction over such cargo loss disputes, and allowing a complainant to repackage and mischaracterize a time-barred COGSA claim as a Shipping Act violation would constitute an unwarranted circumvention of Congressional intent. *A.N. Deringer*, 1990 WL 427469, at *5. Further, the WWO Terms independently establish a one-year time bar for all claims. RX100. Any ruling to the contrary will invite a deluge of cargo loss claims (including time-barred claims) to the FMC, repackaged as alleged Shipping Act violations.

Complainant’s attempt to manufacture a Shipping Act “practice” and to invoke FMC jurisdiction after the expiration of the exclusive remedial period established by COGSA and the WWO Terms is wrongly motivated and is wholly unsupported by the law or Commission precedent. Having offered no citation of legal authority to support the alleged claim and having

years of experience in ocean shipments and mindful of the COGSA time bar for cargo loss claims, Complainant must know the claims lack merit as matter of law. Thus, the deterrence-based rationale articulated in *ICL USA* applies with full force here. An award of attorney's fees in such circumstances would not chill the filing of meritorious complaints, but would compensate the loss to Respondent caused by Complainant's reckless and bad faith conduct, and would reaffirm that Commission proceedings must be grounded in facts, law, and good-faith adherence to established pleading standards.

Complainant's repeated failure to comply with the Initial Order, the Deficiency Order, the applicable time bars, and the jurisdictional limits of the Shipping Act demonstrates a disregard for the Commission's rules, governing law, and basic standards of conduct. Thus, should Respondent prevail by dismissal with prejudice or summary decision, Respondent respectfully requests that the Commission exercise its discretion under 46 C.F.R. § 502.254(a) to award reasonable attorney's fees, upon timely petition, as consistent with the purposes of the Shipping Act.

CONCLUSION

For each of the above independent reasons, WWO respectfully requests that the Commission dismiss all claims against it and award WWO attorney's fees, interest, costs, and such other and further relief as may be deemed just and proper, upon timely petition.

Dated: New York, New York
June 1, 2026

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CERTIFICATE OF SERVICE

I certify that, on June 1, 2026, a true and correct copy of the foregoing Opposition and Motion to Dismiss was filed via electronic mail with the Secretary of the Federal Maritime Commission and a copy was served via electronic mail on the following parties:

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Managing Director and Owner, Worldwide Nexus Logistics, LLC

Dated: New York, New York
June 1, 2026

By: /s/ John R. Keough
John R. Keough